19. The term super multiplier was first used by

a) J.R.Hicks

b) R.G.D. Allen

c) Kahn

d) Keynes

20. The term MEC was introduced by

a) Adam Smith

b) J.M. Keynes

c) Ricardo

d) Malthus

Answers

1	2	3	4	5	6	7	8	9	10
a	a	c	a	d	a	a	d	c	a
11	12	13	14	15	16	17	18	19	20
a	d	c	d	d	a	a	d	a	b

Part-B

Answer the following questions in one or two sentences.

21. What is consumption function?

22. What do you mean by propensity to consume?

23. Define average propensity to consume (APC).

24. Define marginal propensity to consume (MPC).

25. What do you mean by propensity to save?

26. Define average propensity to save (APS).

27. Define Marginal Propensity to Save (MPS).

28. Define Multiplier.

29. Define Accelerator.

Part C

Answer the following questions in one paragraph

30. State the propositions of Keynes's Psychological Law of Consumption

31. Differentiate autonomous and induced investment.

32. Explain any three subjective and objective factors influencing the consumption function.

33. Mention the differences between accelerator and multiplier effect

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